VIE. MANLY — Business Improvement Plan

March 2026 · Analysis Period: Aug 20, 2025 – Mar 11, 2026

> **Executive Summary:** Despite strong growth in Net Sales (+21.7%) and Transactions (+23.1%), profitability is under pressure. Labour costs have grown **faster than revenue**, and Average Sale per transaction is declining. This plan identifies 6 targeted actions to improve bottom-line performance.

Key Performance Snapshot

MONTH	NET SALES	TRANSACTIONS	AVG SALE	LABOUR $	LABOUR %	CAFE MIX
Aug (11d)	$50,796	2,095	$24.25	$7,900	**15.6%**	21.6%
Sep	$141,641	5,824	$24.32	$32,148	**22.7%**	22.3%
Oct	$152,779	6,201	$24.64	$32,884	**21.5%**	22.2%
Nov	$151,711	6,323	$23.99	$36,116	**23.8%**	23.3%
Dec	$167,623	6,539	$25.63	$39,774	**23.7%**	21.6%
Jan	$158,307	6,821	$23.21	$44,103	**27.9%**	27.7%
Feb	$152,173	6,858	$22.19	$43,315	**28.5%**	29.3%
Mar (11d)	$65,248	2,500	$26.10	$17,328	**26.6%**	29.1%

Margin Structure (Full Period)

- **Avg Profit Margin**: 48.2% (Cafe: 70.2% · Retail: 40.9%)
- **Labour vs Sales**: 24.4% (Cafe: 29.7% · Retail: 22.6%)
- **Real Profit Margin**: 23.8% (Margin 48.2% − Labour 24.4%)
- **Real Profit**: ~$248K after COGS + labour

The Profit Squeeze: What's Happening

1. Labour costs climbing faster than revenue

Labour increased **+37%** ($32K → $44K) while net sales only grew +7%. This is the #1 driver of the profit squeeze.

2. Average sale declining (−10% from peak)

From $24.64 (Oct) to $22.19 (Feb). More customers through the door, but spending less per visit.

3. Cafe mix increasing (double-edged sword)

Cafe share grew from ~22% to ~29%. Higher margin (70%) but much higher labour intensity — the extra margin is consumed by extra barista labour.

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6 Key Actions (Ordered by Impact)

1. 🎯 Control Labour Scheduling — HIGHEST IMPACT

Dashboard tool: Labour % chart → day-of-week filter; Staff page for shift-level detail

- Identify highest-cost shifts (Sunday/public holiday penalty rates are 2x)
- Cross-reference daily Labour % with Net Sales: cut hours where Labour % > 30%
- Audit whether all rostered hours are necessary — especially mid-week slow periods
- **Target**: get Labour % back below 24%

Estimated saving: $5K–$8K per month ($60-96K/year)

2. 💰 Lift Average Sale Value

Dashboard tool: Avg Sale chart (downward trend visible); Members page for spending patterns

- Review Members page for spending pattern changes
- Implement upsell strategies: combo deals (coffee + bakery item)
- Check if discount frequency increased (compare Gross vs Net spread)
- **Target**: floor at $24.00 avg sale

Revenue uplift: $1 improvement = +$6,800/month pure margin

3. 🏪 Optimize Retail Category Mix

Dashboard tool: Category chart view; Inventory page → sort by Actual Profit column

- Increase shelf space for categories at 42%+ margin (Tea, Gifts, Fermented Goods)
- Consider dropping items consistently below 38% margin
- Monitor Category chart monthly to track high-margin category growth

Potential uplift: 1-2 pts on overall margin = $10-20K/year

4. 👥 Leverage the Members Program

Dashboard tool: Members page → revenue %, status breakdown; Campaigns page for re-engagement

- Identify "Cooling" (14-30d) and "At Risk" (30-45d) members → SMS campaigns
- Promote loyalty sign-ups at checkout
- **Target**: increase member revenue share by 5%

5. 📦 Fix Dead Stock & Overstock

Dashboard tool: Inventory page → Stock Intelligence alerts

- Run clearance on items with sell-through < 10% and days-of-stock > 90
- Tighten reorder quantities for slow-movers
- Track "Needs Action" KPI — target −30% reduction

Capital release: $5K–$15K back into cash flow

6. 📊 Weekly Performance Reviews

Dashboard tool: "This week" / "Last week" with "vs. Prior period" comparison

- **Every Monday**: Check "Last week" vs prior week — focus on Labour % and Avg Sale
- **Flag**: any day where Labour % > 30% — discuss with team
- **Monthly**: review "This month" vs "Last month" to catch drift early

KPI Targets

METRIC	CURRENT	TARGET	TIMELINE
Labour vs Sales %	24.4% (trending 28%)	**≤ 24%**	4 weeks
Average Sale	$24.10 (trending $22)	**≥ $24.00**	8 weeks
Real Profit Margin	23.8%	**≥ 25%**	3 months
Member Revenue %	TBD	**+5%**	3 months
Dead/Overstock items	TBD	**−30%**	6 weeks